

NVIDIA Corporation

NVDA NASDAQ

Buy	\$225.41 ▲ 0.59%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.46T
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NVDA: AI Capex Cycle Getting a Wall Street Assist

WHAT HAPPENED

- Big story: NVDA is teaming up with Goldman Sachs and BlackRock to help *finance* the AI data center buildout. Translation — Wall Street is now underwriting the demand for NVDA's own chips. That's a huge deal because the #1 pushback on NVDA is "who's actually paying for all this AI infrastructure?" Now Goldman and BlackRock are basically answering that question with a checkbook.
- CoreWeave and Nebius (both huge NVDA customers) ripped higher on strong AI spending numbers — that's a direct read-through that NVDA's order book stays fat into 2027.

WHY IT MATTERS

The Goldman/BlackRock financing partnership is more important than it looks — it essentially creates a vendor-financing flywheel where NVDA helps arrange capital for the buyers of its own GPUs. That's the same playbook Cisco used in the late '90s dot-com boom, which is both the bull case (extends the cycle) AND the risk (concentrates counterparty exposure). Near-term though, this signals the AI capex cycle isn't slowing — it's getting institutionalized. With Trump's budget deficit ballooning to \$432B in July and new tax cuts on the table, expect continued loose fiscal conditions that keep risk assets (and AI names) bid.

POLICY & POLITICAL WATCH

Two things to watch: (1) the Trump administration's China chip export policy — there's an ongoing negotiation where NVDA agreed to give the US government a 15% cut of H20 chip sales to China in exchange for export licenses. If that framework holds, it unlocks billions in Chinese revenue that was previously frozen. (2) The proposed new tax cuts being floated would likely include accelerated depreciation for data center capex — that's a direct subsidy for NVDA's customers to buy more chips. Both are tailwinds if they land.

IS IT EXPENSIVE?

At \$5.46T market cap, NVDA trades around 46x forward earnings — meaning you're paying \$46 today for every \$1 of profit expected next year. That's expensive vs the S&P at ~22x, but cheap vs where NVDA traded a year ago (60x+) because earnings have caught up to the stock price. If FY27 revenue hits \$265B as I model, this is actually reasonable — the question isn't valuation, it's whether the AI capex cycle keeps humming.

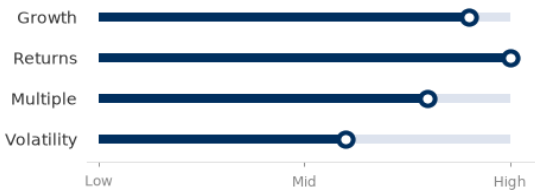
WHAT COULD GO WRONG

- China export policy reversal — if Trump uses NVDA chips as a bargaining chip in trade talks and tightens restrictions, that's a \$15-20B revenue hit

Key Data

Price (USD)	\$225.41
12M Price Target	\$260.00
Upside / (Downside)	+15.3%
Market Cap	\$5.46T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.85
FY2027E EPS	\$6.40
Fwd P/E	46.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$230.00	\$210.00
6 Months	\$275.00	\$250.00	\$200.00
1 Year	\$310.00	\$260.00	\$185.00
2 Years	\$380.00	\$300.00	\$170.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.9% over 5 days) and Comm Services are leading — that's classic risk-on behavior tied to expectations of more Trump tax cuts and continued AI spending. Real Estate popping today is interesting — likely rate-cut expectations building on the weak household debt data.

COOLING OFF: Financials lagging (+0.5% on 5D) despite the AI financing news — banks aren't getting credit for the AI boom yet, which might be an opportunity.

ROTATION WATCH: Money is staying in AI/tech rather than rotating out — the CoreWeave/Nebius rip today shows the "picks and shovels" trade still has legs. No sign of the AI rotation ending.

RELATED PLAY: If NVDA's financing partnership works, data center REITs (DLR, EQIX) and power infrastructure names (VST, CEG) are the second-order winners — they physically house and power the GPUs.

WHO'S WINNING IN THIS SPACE?

- CRWV (CoreWeave): Ripped on strong AI spending report — proves customer demand for NVDA silicon is accelerating, not slowing
- NBIS (Nebius): Same story — GPU cloud providers seeing massive demand, which means they're placing bigger NVDA orders

NVDA CONTEXT: NVDA is up only 0.6% while its customers are soaring — that's a lag worth noting. Usually when customers rip, NVDA follows within a week. This looks like a coiled spring setup unless the unusual put activity is signaling something we don't know.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The AI capex cycle keeps finding new legs (now with Wall Street financing), and I don't see the catalyst that breaks it in the next 6 months.

POSITION SIZE: 5-8% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year. This isn't a "bet the farm" name at \$5.5T market cap anymore.

ENTRY POINTS: Add on pullbacks to \$215-220 (recent support). If it breaks \$210, wait — that would signal something changed.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is FY27 revenue guidance confirming the \$260B+ run-rate. That's when the "AI is peaking" narrative dies for good.

WHEN TO BAIL: If a top-3 hyperscaler cuts capex guidance, or China exports get fully re-banned, or the stock breaks \$200 on high volume — those are my three exit triggers.

HEDGING: Simplest hedge is buying a small put position (like \$200 strike puts 3 months out) as insurance — think of it as paying 1-2% of your position as an "insurance premium" against a nasty drawdown.